We see that EBIT/ Average Working Capital stands at 202% for FY 2017. The average working capital is of two financial years. The number shows how big the EBIT is in relation to Average Working Capital.

The Average Working Capital is around Rs.566 Cr for FY 2017 and the company is generating more profits at the EBIT level than the Total Working Capital. This is thus a healthy sign for the company. There is no hard and fast rule but ideally this number should be over 50% which means company can replenish 50% of its working capital at EBIT levels.

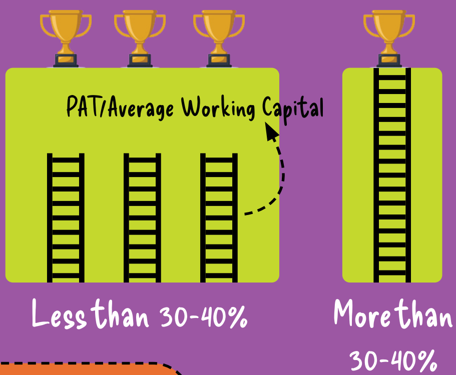
As seen, the numbers are quite healthy. This indicates that the company can add working capital if required. Thus the company can fund its working capital from its profits and does not have external dependence for working capital. However, we also need to keep in mind that cash flow from operations are maintained.

2 PAT/Average Working Capital

This number is also quite healthy for the company. TWe can see that the company can fund its entire working capital in any given year. This number should be more than 30-40% for a healthy company. In our example, the ratio is between 121-128%, which is a very healthy number.

This number stands quite low for struggling companies at around 10, 12, and 15 percent. Thus, if the working capital requirement increases, the PAT can't fund it anymore. In that case, the company would resort to external funding like debt or equity. However, this also needs to be evaluated in parallel with Fixed asset requirement by the company. We will look at fixed capital requirements going ahead.

We see here that the company's working capital is well-funded and there is no sign of worry.



3 PAT/Average Working Capital

This also means Working Capital Turnover. How many times the company can turn over its working capital. Thus, the lower the number, the better it is. As company grows in size, if working capital requirement is low, working capital does not come in the way of growth.